

RYDA · INTERNAL MEMO

Legal & Regulatory Options for Fractional Supercar Ownership

A comparison of every realistic path RYDA can take to offer share-based ownership of vehicles in the US — costs, timelines, marketing rules, real-world precedent, and a 3-year roadmap.

Prepared for: RYDA founders & team

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Sources: Two parallel analyses — Claude (Anthropic) and Codex (OpenAI), drawing from SEC Reg D / Reg A / Reg CF guidance, Rally / Masterworks / Arrived / NetJets disclosures, and FAA Part 91 Subpart K materials.

Status: Working analysis. *Not legal advice — engage securities counsel before committing to any path.*

Executive summary

The strategic question is bigger than which SEC exemption to use. **RYDA can be either an investment platform or a luxury access platform — and the regulatory regime follows from that choice, not the other way around.**

If RYDA is an investment platform (LLC equity, share trading, appreciation expectation, secondary market): each vehicle's interest is a security under *Howey*. The exemption options are **Reg D 506(c)** (accredited only, cheap, fast), **Reg A+ Tier 2** (\$250K–\$750K, 5–10 months, open to anyone), or a **hybrid 506(c) → Reg A+ Fleet Fund** (Masterworks playbook).

If RYDA is an access platform (direct co-ownership of the physical vehicle, primarily for personal use, no investment thesis, no secondary market): the offering can be structured as a **non-security** — no SEC filings, no accreditation gate, open to anyone. This requires giving up the trading UI, the appreciation pitch, and the perpetual-share framing. **This is the structure Supercar Sharing AG uses in Switzerland.** The US legal equivalent is a Tenancy-in-Common (TIC) co-ownership recorded on the vehicle title, paired with a management services agreement.

Both analyses converge: if you stay on the investment-platform thesis, **launch on Reg D 506(c)** for Year 1, evaluate **Reg A+ Tier 2** for a Fleet Fund in Year 2–3. If you pivot to access-platform, the TIC-based non-security path is genuinely viable but is a different product. **This document covers all four paths with a final recommendation at the end.**

Analysis A — Codex (OpenAI)

"This is securities, not 'membership.' Treat every car LLC interest as an investment contract."

PATH	WHO CAN INVEST	SETUP / TIME	ANNUAL COST	MARKETING RULES	PRECEDENT	FIT FOR RYDA
Reg D 506(b): private placement, no public solicitation	Unlimited accredited + up to 35 sophisticated non-accredited	\$25K–\$75K · 2–6 weeks	\$10K–\$40K	No public website offers. Public marketplace breaks it.	Private RE / collectible syndicates	Bad fit — public marketplace breaks 506(b).
Reg D 506(c): public solicitation allowed, sales to verified accredited only	Accredited only, verified	\$35K–\$100K · 3–8 weeks	\$15K–\$60K	Public listings allowed if every buyer is verified accredited; SEC requires "reasonable steps" to verify	Rally, Masterworks (some vehicles)	Best launch path.
Reg A+ Tier 1: mini public offering up to \$20M / 12 mo	Anyone, state-by-state review	\$150K–\$350K · 4–9 mo	\$40K–\$125K	Testing-the-waters allowed; sales after SEC + state qualification	Rare — state review is painful	Bad fit unless single-state.
Reg A+ Tier 2: mini public offering up to \$75M / 12 mo	Anyone (non-accredited capped at 10% of net worth/income)	\$250K–\$750K · 5–10 mo	\$100K–\$300K (audit, 1-K, 1-SA, 1-U)	Public marketing + testing-the-waters allowed; offering circular must be SEC-qualified before sales	Rally / RSE Collection (cars), Masterworks (art), Arrived (RE)	Best scale path. Too heavy for day one.
Reg CF: crowdfunding via registered portal, \$5M / 12 mo cap	Anyone, with non-accredited limits	\$40K–\$120K + portal fees · 2–4 mo	\$15K–\$60K	Must run through one portal; off-platform marketing tightly limited	Small Change, Republic, Wefunder	Poor fit for \$50K–\$200K shares + luxury positioning.
Direct co-ownership: NetJets-style, sell usage rights not investment returns	Anyone with KYC + insurance	\$75K–\$200K · 2–4 mo	\$25K–\$100K	Market as usage membership, not investment	NetJets (FAA Part 91K — special carve-out for aircraft)	Likely trips Howey for autos. No Part 91K equivalent for cars.
Hybrid 506(c) + Reg A+: launch accredited, qualify public later	Phase 1 accredited; Phase 2 anyone	\$300K–\$900K total · 6–12 mo	\$125K–\$350K	Public 506(c) now; Reg A+ qualified later	Rally (uses both), Masterworks	Best strategic plan.

PATH	WHO CAN INVEST	SETUP / TIME	ANNUAL COST	MARKETING RULES	PRECEDENT	FIT FOR RYDA
Rule 504: small state-driven offering, \$10M cap	Depends on state	\$40K– \$150K · 2–6 mo	\$15K– \$75K	State blue-sky limited	Local RE syndications	Not worth it for multi-state platform.
Registered S-1 IPO: full SEC registration	Anyone	\$1.5M– \$5M · 9–18 mo	\$1M+	Full public after registration	Public REITs / funds	Absurd for RYDA now.
3(c)(1) / 3(c)(7) Fund: pooled vehicle fund	3(c)(1): up to 100 accredited; 3(c)(7): qualified purchasers	\$75K– \$250K · 2–4 mo	\$75K– \$250K	Usually 506(b) or 506(c)	Private collectible / art / wine funds	Useful later for diversified Fleet Fund, not single-car co-ownership.

Codex's recommendation

Launch with **Reg D 506(c)** for the first 5 cars. It matches your public website, high share price, small number of members, and Q3 2026 deadline. Don't waste time on 506(b). Don't pretend this is a non-security. Don't start with Reg A+ unless you want legal process to become the company.

3-YEAR ROADMAP

- **Year 1.** 506(c), accredited only, 5 cars, Miami. Prove demand, utilization, insurance performance, resale process, maintenance reserves, member behavior, acquisition discipline.
- **Year 2.** Prepare a **Reg A+ Tier 2** shelf-style program for repeat offerings. Use Rally and Arrived as the closest regulatory analogs. Start with one or two flagship public offerings, not the whole fleet.
- **Year 3.** Run Reg A+ Tier 2 for broader retail access; keep 506(c) for premium or fast acquisitions; consider a private diversified Fleet Fund for accredited investors who want exposure without choosing cars.

FOUNDER MISTAKES TO AVOID

- Calling it "co-ownership" while marketing appreciation.
- Using 506(b) with public listings.
- Letting non-accredited investors into a 506(c) deal.
- Taking success fees or transaction compensation without broker-dealer analysis.
- Ignoring Investment Company Act issues when pooling assets.

- Promising liquidity before a real secondary-transfer framework exists.
- Under-reserving for insurance, storage, damage, depreciation, disputes, forced exits.

Analysis B — Claude (Anthropic)

Codex's table is correct. Three things to add that aren't in there:

1. Accreditation isn't a real TAM constraint at RYDA's scale.

There are ~13 million accredited US households (~9% of all US households). RYDA's Year 3 target is **120 co-owners** total across LA, Miami, and NY. That's **0.0009%** of accredited households. Accredited-only is not what's limiting growth.

The accreditation gate filters out tire-kickers and protects RYDA from one regulatory category of complaint. The "open it to retail" pitch sounds liberating but is almost entirely a **brand / marketing** decision, not a market-access decision. That changes the calculus on whether \$300K–\$900K for Reg A+ is worth it.

2. The Reg A+ migration is harder than the spreadsheet suggests.

The legal cost is the visible part. The hidden part:

- **Investor count explodes.** A Ferrari 296 LLC at \$50K/share with 6 shares = 6 investors. The same LLC under Reg A+ at \$5K/share with 60 shares = 60 investors. Each one needs onboarding, KYC, a K-1 each year, voting on material decisions, customer support.
- **Operating Agreement gets unworkable.** Try getting 60 co-owners to vote 75% on a vehicle sale.
- **Product changes.** Most Reg A+ fractional plays (Rally, Masterworks) operate as *passive investment vehicles* — the "owner" never touches the asset. That's fine for art, weird for cars. RYDA's whole pitch is that you actually drive the thing.

Implication: when RYDA eventually does Reg A+, it probably isn't for individual vehicle LLCs. It's for a **"RYDA Fleet" diversified offering** — a fund that owns multiple vehicles, where retail investors get exposure but no usage rights. Two products, not one.

3. Masterworks evolution is the actual playbook to copy.

- **2017–2019:** launched on Reg D 506(c) with \$20K minimums. Accredited only, public website, fast.
- **2019–2020:** qualified each artwork's offering under Reg A+ Tier 2 to open to retail.
- **Today:** Reg A+ for individual artworks, plus various private vehicles for accredited investors.

It took them 2–3 years to make the jump. They proved the model on accredited capital first, then spent the legal money once they had data.

4. Investment Company Act flag.

Codex flagged this in passing — it matters. If RYDA ever pools *multiple vehicles in one LLC* (e.g. "RYDA Miami Fleet LLC owns all 5 cars"), it trips the 1940 Investment Company Act and becomes a registered investment company unless it carves into 3(c)(1) or 3(c)(7). **One-LLC-per-vehicle (the current plan) avoids this entirely.** Don't change it.

Path C — TIC + Management Agreement (Supercar Sharing AG model)

This is the structure Supercar Sharing AG uses in Switzerland — the platform RYDA's deck explicitly cites as its model. Their public materials confirm a structure that is fundamentally different from the LLC-equity approach in Paths A and B.

What Supercar Sharing AG actually does

Public sources — their Terms & Conditions, FAQ, and the Swiss commercial register — show:

- **Direct contractual co-ownership of each physical vehicle.** No SPV, no GmbH or AG per car, no equity in the operating company. A member buying a 1/10 share owns 10% of the actual vehicle, recorded in a per-vehicle co-owner register.
- **The legal foundation is Swiss *Miteigentum*** (Civil Code Art. 646 ZGB) — fractional ownership of an undivided physical object, freely transferable subject to the operating agreement.
- **Supercar Sharing AG itself is the operator** (CHE-184.767.384, Zurich), not the issuer. They run the platform, manage operations, and earn fees. They do not sell their own equity.
- **No FINMA filing exists.** They appear to operate outside Swiss collective-investment-scheme regulation (CISA / KAG) by structuring the offering as direct personal-use co-ownership rather than pooled investment.
- **Member contract stack:** club/platform membership + per-vehicle share purchase agreement + management services agreement. The detailed co-ownership terms live in a members-only portal (not public).
- **Secondary transfer:** seller lists their share, SCS appraises it and finds a buyer, charges a platform fee, settles seller, updates the co-owner register. Operationally closer to a country-club membership transfer than a stock trade.

Sources: [Supercar Sharing T&Cs](#), [FAQ](#), [Swiss Civil Code Art. 646](#), [FINMA CISA materials](#).

The US legal equivalent

The closest US analog is **Tenancy-in-Common (TIC) co-ownership recorded on the vehicle title, paired with a management services agreement.** This is materially different from the LLC-equity structure I had been calling "NetJets-style" in earlier drafts. NetJets' Part 91K is an aircraft-specific FAA

carve-out that has no equivalent for cars. The actual analog is much simpler: state-level TIC property law, which is well-established and exists in every US state.

Mechanics:

- Each member is a titled co-owner of the actual vehicle on the DMV registration (e.g. "Smith, Garcia, Patel, Chen, Lee, Williams" all on the title, with percentage interests).
- Members sign a written TIC co-ownership agreement that defines voting thresholds, transfer rules, fair-use, default remedies, and dispute resolution. (Same content as a Delaware LLC operating agreement, just structured as a property contract instead of an entity contract.)
- Separately, all members execute a management services agreement with RYDA covering insurance, storage, scheduling, maintenance.
- Resale is "transfer your TIC interest to another verified member" — a property transfer recorded with the state DMV, not a securities transaction.

The Howey reanalysis

The Howey test (*SEC v. W.J. Howey Co.*, 1946) defines an "investment contract" — a security — as having four elements:

1. **An investment of money** — yes, always.
2. **In a common enterprise** — possibly weakened under TIC, since each member holds direct title to a defined fractional interest, not equity in a common enterprise.
3. **With expectation of profit** — *this is the prong in play*.
4. **Derived from the efforts of others** — yes, RYDA still operates everything.

TIC structuring weakens prong 2 (common enterprise) compared to LLC equity. But the key gating prong is still **expectation of profit**. Cars depreciate, which weakens the appreciation argument structurally. If RYDA frames the offering honestly — "buy a multi-year right to drive a car that will be worth less when you exit than when you entered" — the appreciation argument falls away.

The depreciation reality is what makes the non-security argument viable for cars at all. It's why this path works for vehicles but not for fractional art (Masterworks) or fractional real estate (Pacaso, Arrived) — those assets appreciate, so the expectation-of-profit prong holds regardless of structure. Vehicles uniquely allow the consumption-product framing to be honest.

What RYDA must do to make this work

The TIC structure by itself doesn't get all the way home. The SEC and courts look at **substance over form**. Even with direct title co-ownership, if buyers reasonably expect to make money, it's still a security regardless of the title-level paperwork.

To be defensibly non-security under this path, **all six** of the following must hold:

1. **Drop appreciation framing entirely from marketing.** No "asset class," no "appreciation," no "investment grade," no "tap into the alt-investment market." The pitch becomes: "drive a \$340K Ferrari for \$50K up-front + monthly. Cars depreciate. Don't buy this expecting to make money on resale."
2. **Title members directly on the vehicle registration.** Each member's name appears on the DMV title as a co-owner, with their fractional percentage. Not "RYDA Ferrari LLC."
3. **No income distributions from operations.** Rental revenue from off-utilized days, depreciation deductions, any operational surplus stays with RYDA via the management agreement. Members get usage, not yield.
4. **Replace the secondary "market" with member-to-member transfer.** No order book. No "trading shares." Just "transfer your TIC interest to another verified member" — a property transfer with DMV paperwork. The order-book UI must come down.
5. **Explicit, prominent "not an investment" disclaimers** in every signup, member agreement, and on the public site.
6. **Member voting rights on material decisions** (sale, modification, replacement) per the TIC co-ownership agreement. Members must have real ownership control, not just nominal title.

Skip any one of the six and you're back in securities territory.

Costs & timeline

\$60K–\$140K initial legal cost (specialized counsel to design the TIC structure + management agreement + state-by-state DMV/title research for Florida, California, and New York). **3–5 months** to launch. **\$30K–\$70K/year** ongoing for legal maintenance.

Slightly higher than the original "depreciation non-security" estimate because state-level DMV/title work adds complexity. Still cheaper long-term than 506(c) ongoing because there are no Form D filings, no accreditation verification per investor, no state blue-sky filings. The big initial cost is buying counsel sign-off plus working through state-by-state title rules.

Operational complexity beyond the legal cost

The legal blueprint is straightforward; the operational reality is messier than the LLC-equity path:

- **State title rules vary.** Florida and California allow up to 5 names on a title easily. New York is stricter and may require an alternative arrangement (a single "trustee" co-owner holding title for the group). LA County DMV may treat 5+ co-owned exotics as commercial fleet vehicles.
- **Insurance carriers are unfamiliar.** Most fleet exotic-auto policies are designed for either single-owner or LLC-titled vehicles. Carriers writing for 5+ named co-owners on title is a smaller universe — Hagerty and a few specialty carriers can do it, but quotes will take longer and cost more.
- **Sales/use tax.** Each transfer of a TIC interest may trigger state-level sales or use tax. Florida sales tax on vehicles is 6%; if every secondary-market transfer is a taxable event, that's a 6% drag layered

on top of RYDA's 3% transfer fee.

- **Member onboarding overhead.** Each new member requires a DMV title amendment (slow, paper-based in most states). Compare to an LLC where a new member just signs an updated operating agreement — far faster.
- **Inter-market transit.** A vehicle titled in Florida with members in NY/LA creates registration-state issues if it's driven outside Florida for extended periods.

What RYDA loses

- The Robinhood-style markets page, the order book, the trading UI — all of that telegraphs "investment platform" and would have to come down. The product becomes more "club" and less "exchange."
- The investor-deck pitch is harder. The current deck leans on "RYDA taps into a \$14B luxury auto market AND the alt-investment market" — that messaging conflicts with non-security positioning.
- Some buyer demand. Some prospects aren't enthusiasts — they want car exposure as an investment. They don't buy a depreciating membership card.
- Founding-100 pricing as an "investment" framing. Becomes "founding membership rate."
- K-1 depreciation tax benefits flow to RYDA, not members. Some prospects view that as material.
- Onboarding speed: TIC + DMV is materially slower than LLC operating-agreement signature.

What RYDA gains

- **No SEC.** No accreditation gate. No 506(c) verification overhead. No Form D. No SEC-restricted advertising language.
- **No state blue-sky.** No annual filings. No investor count restrictions.
- **Open to anyone.** Retail accessible Day 1. ~10× larger TAM than accredited-only.
- **Marketing freedom.** Mass-market advertising allowed. No restrictions on customer testimonials, projections, or pitch language.
- **The structural moat.** No US platform has built TIC-based fractional supercar ownership at scale. The legal architecture is harder to set up but creates a real differentiator.
- **Lower long-term cost.** Ongoing maintenance is cheaper than 506(c)+ Reg A+ at scale.

Risks specific to this path

SEC challenge risk. This is the dominant risk. The SEC has historically scrutinized fractional-asset platforms aggressively. If the SEC takes the view that RYDA is a security despite the TIC structure, the consequences are severe: rescission liability (refund every member their full purchase price plus interest), fines, individual liability for officers under Section 12(a), state securities action (Florida, your launch market, has aggressive state regulators), and a reputational kill that ends the business.

The defense is consistency. Marketing, member agreements, financial structure, title arrangements, and operational practice all have to match the "consumption product" thesis. Any inconsistency becomes evidence the form is sham.

Other risks: **state-level operational complexity** (DMV, insurance, sales/use tax) varies by state and requires ongoing legal monitoring as RYDA expands; **limited liquidity** for members (no secondary market means harder exits); **sales tax drag** on every transfer; **narrative risk** (the deck story is less differentiated — "we're a luxury car club" is a smaller pitch than "we're a new asset class").

Real-world precedent

- **Supercar Sharing AG (Switzerland)** — direct precedent. ~1,300 members, CHF 34M in transactions over a decade. TIC equivalent under Swiss Miteigentum. Operates outside FINMA collective-investment regulation. The structure RYDA's US version would adapt.
- **NetJets jet card** — adjacent precedent for depreciating-asset access products. Multi-billion-dollar program. Not a security. (NetJets' fractional aircraft program itself uses Part 91K, which is aircraft-specific and not directly applicable to cars.)
- **Equinox Black Card / Soho House membership** — luxury access products at high price points, no securities issue, prepaid usage rights with member-to-member transfer mechanisms.
- **Country club memberships** — long-established model. Member buys equity in a depreciating asset (the club facility), uses it during membership, transfers to another verified member on exit. Generally treated as not-a-security despite some equity-like features.
- **Carma (defunct)** — attempted exotic-car co-ownership in the US around 2020, structured as a usage product. Operated for ~2 years, didn't reach scale.

No US platform has yet built the TIC-based version at the scale RYDA targets. That's both the opportunity and the risk.

The Howey reanalysis

The Howey test (*SEC v. W.J. Howey Co.*, 1946) defines an "investment contract" — a security — as having four elements:

1. **An investment of money** — yes, always.
2. **In a common enterprise** — yes, because multiple co-owners share an LLC.
3. **With expectation of profit** — *this is the prong in play.*
4. **Derived from the efforts of others** — yes, because RYDA operates everything.

Three of the four prongs are unavoidable for RYDA's model. To escape securities classification, prong 3 must be broken. "Expectation of profit" specifically means **capital appreciation** OR **income from the enterprise**. Both must be substantially absent.

Cars depreciate. Unlike art, real estate, or fine wine, exotic vehicles lose value through use — that's why they exist as a category for fractional ownership in the first place: the carrying cost is the problem solo ownership doesn't solve. If the offering is honestly framed as "**buy a multi-year right to drive a car that will be worth less when you exit than when you entered**," the appreciation argument falls away.

This is the same legal foundation NetJets uses for its **jet card** product (different from their fractional aircraft program, which sits under FAA Part 91K's special carve-out). A jet card buyer pays \$200K for X hours of jet time over Y years. The card is a prepaid expense. The jet depreciates. There's no investment return expected. No SEC filing. No accredited gate. Marketed to anyone.

What RYDA must do to make this work

The depreciation argument by itself doesn't get all the way home. The SEC and courts look at **substance over form**. Even with a depreciating asset, if buyers reasonably expect to make money — through resale, through enterprise income, through tax shelters, through any "I'll get something back" mechanism — it's still a security regardless of paperwork.

To be defensibly non-security, **all five** of the following must hold:

1. **Drop appreciation framing entirely from marketing.** No "asset class," no "appreciation," no "investment grade," no "tap into the alt-investment market." The pitch becomes: "drive a \$340K Ferrari for \$50K up-front + monthly. Cars depreciate. Don't buy this expecting to make money on resale."
2. **No income distributions from operations.** Rental revenue, depreciation deductions, any operational surplus stays with RYDA. Members get usage, not yield. Currently the model has co-owners as direct LLC equity holders. Under this restructure, RYDA owns the LLC; members buy a **fixed-term usage contract** from it.
3. **Fixed-term commitments instead of perpetual ownership.** Frame as "5-year usage agreement, optional renewal" rather than "perpetual share." End of term: contract expires, residual value (if any) belongs to RYDA or distributed minimally.
4. **Replace the secondary market with member-to-member contract assignment.** No "trading shares." Just "transfer your remaining usage commitment to another verified member at a price you

negotiate." Closer to a country-club membership transfer than a stock sale. The order-book UI must come down — it telegraphs "this is a security."

5. **Explicit, prominent "not an investment" disclaimers** in every signup, member agreement, and on the public site itself. SEC reviewers look at this directly. Disclaimers must match operational practice — if the disclaimers say "not an investment" but founders pitch investors on co-owner economics, the SEC will pierce the form.

Skip any one of the five and you're back in securities territory.

Costs & timeline

\$50K–\$120K initial legal cost (specialized counsel to design the structure and provide a written non-security opinion or comfort letter). **2–4 months** to launch. **\$25K–\$60K/year** ongoing for legal maintenance, member contract updates, insurance compliance.

Cheaper than 506(c) ongoing because there are no Form D filings, no accreditation verification per investor, no state blue-sky filings. The big initial cost is buying counsel sign-off; once you have it, operations are simpler.

What RYDA loses

- The Robinhood-style markets page, the order book, the trading UI — all of that telegraphs "investment platform" and would have to come down. The product becomes more "club" and less "exchange."
- The investor-deck pitch is harder. The current deck leans on "RYDA taps into a \$14B luxury auto market AND the alt-investment market" — that messaging conflicts with non-security positioning.
- Some buyer demand. Some prospects aren't enthusiasts — they want car exposure as an investment. They don't buy a depreciating membership card.
- Founding-100 pricing as an "investment" framing. Becomes "founding membership rate," which is a different sell.
- Tax structure. Members lose K-1 depreciation benefits (which RYDA captures instead). Some prospects view that as material.

What RYDA gains

- **No SEC.** No accreditation gate. No 506(c) verification overhead. No Form D. No SEC-restricted advertising language.
- **No state blue-sky.** No annual filings. No investor count restrictions.
- **Open to anyone.** Retail accessible Day 1. ~10× larger TAM than accredited-only.
- **Lower legal cost.** Especially for the second and third years of operations.

- **Marketing freedom.** Mass-market advertising allowed. No restrictions on customer testimonials, projections, or pitch language.
- **Speed.** 2–4 months to launch vs 3–8 weeks for 506(c) (though 506(c) is faster on this dimension, A+ would be 5–10 months).

Risks specific to this path

SEC challenge risk. This is the dominant risk. The SEC has historically scrutinized fractional-asset platforms aggressively. If the SEC takes the view that RYDA is a security despite the structure, the consequences are severe: rescission liability (refund every member their full purchase price plus interest), fines, individual liability for officers under Section 12(a), state securities action (Florida, your launch market, has aggressive state regulators), and a reputational kill that ends the business.

The defense is consistency. Marketing, member agreements, financial structure, and operational practice all have to match the "consumption product" thesis. Any inconsistency becomes evidence the form is sham.

Other risks: **limited liquidity** for members (no secondary market means harder exits); **insurance complexity** (carriers familiar with LLC ownership may need education on the new structure); **tax inefficiency** for members who would have benefited from K-1 depreciation; **narrative risk** (the deck story is less differentiated — "we're a luxury car club" is a smaller pitch than "we're a new asset class").

Real-world precedent

- **NetJets jet card** — direct precedent for a depreciating-asset access product. Multi-billion-dollar program. Not a security.
- **Equinox Black Card / Soho House membership** — luxury access products at high price points, no securities issue, prepaid usage rights with member-to-member transfer mechanisms.
- **Country club memberships** — long-established model. Member buys equity in a depreciating asset (the club facility), uses it during membership, transfers to another verified member on exit. Generally treated as not-a-security despite some equity-like features.
- **Carma (defunct)** — attempted exotic-car co-ownership in the US around 2020, structured as a usage product. Operated for ~2 years, didn't reach scale.

No US platform has yet built this at the scale RYDA targets. That's both the opportunity and the risk.

Final recommendation: a strategic fork

This is no longer just a regulatory question. It's a product question that the regulation follows from. RYDA has to decide what it fundamentally is.

The four paths, compared

PATH	INITIAL COST	TIME TO LAUNCH	OPEN TO	PUBLIC MARKETING	BEST FIT IF...
Reg D 506(c) — accredited-only LLC equity	\$35K–\$100K	3–8 weeks	Accredited only (verified)	Yes	RYDA is primarily an investment platform. Year 1 priority is speed.
Reg A+ Tier 2 — public-market LLC equity	\$250K–\$750K	5–10 months	Anyone (with caps)	Yes	Year 2–3 product, after model is proven. Best for a Fleet Fund.
Hybrid 506(c) → A+	\$300K–\$900K total	6–12 months	Both	Yes	Long-term plan if RYDA stays on the investment thesis. The Masterworks playbook.
TIC + Management Agreement — direct co-ownership of vehicle, Supercar Sharing AG model	\$60K–\$140K	3–5 months	Anyone	Unrestricted	RYDA pivots to a luxury access platform. The structure SCS uses in Switzerland.

The strategic question

Is RYDA primarily an investment platform or a luxury access platform?

- **Investment platform.** Members buy because they want exposure to an asset class. The trading UI, the order book, the appreciation language, the secondary market liquidity, and the "new asset class" investor pitch are all core to the value proposition. → Path 1 (506(c)) now, Path 3 (hybrid → A+) over time.
- **Luxury access platform.** Members buy because they want to drive a Ferrari without committing \$340K up-front. The asset-backed framing exists for honesty (their money goes into a real car) but the value is the experience, not the financial return. → Path 4 (TIC + management agreement, the Supercar Sharing AG model).

Both can be legitimate, defensible businesses. They're just different businesses.

Honest read on each path

IF RYDA IS AN INVESTMENT PLATFORM: 506(C) → A+

- **Year 1:** Reg D 506(c). \$35K–\$100K initial, 3–8 week timeline, fits the public marketplace, accredited-only is not a market constraint at RYDA's Year-3 scale (120 members across 13M accredited households).

- **Year 2:** Prepare a Reg A+ Tier 2 program — but most likely for a separate "RYDA Fleet Fund" product, not for individual vehicle LLCs. The Reg A+ economics don't work well for sub-100-member single-asset LLCs.
- **Year 3:** Reg A+ Fleet Fund live for retail. Keep 506(c) for premium per-vehicle offerings. Two products, two regulatory tracks. The Masterworks playbook applied to cars.
- **Don't:** start on Reg A+ (5–10 months of legal process before launch). Don't use 506(b) (kills the public website). Don't try to engineer non-security around an investment-shaped product.

IF RYDA IS AN ACCESS PLATFORM: TIC + MANAGEMENT AGREEMENT (SUPERCAR SHARING AG MODEL)

- Restructure the product: members hold direct title to a fractional share of the vehicle on the DMV registration; drop appreciation language; drop the order book; switch operational profits to RYDA via a separate management services agreement; require explicit "not an investment" disclaimers.
- \$60K–\$140K initial legal for specialized counsel to design the TIC structure + management agreement + state-by-state DMV/title research (FL, CA, NY). 3–5 months to launch.
- Open to anyone, retail-friendly, no SEC, no accreditation gate, mass-market marketing.
- Different deck pitch — smaller TAM story, but a real one. Closer to "Soho House for cars" than "Robinhood for supercars." This is what Supercar Sharing AG built in Switzerland (~1,300 members, CHF 34M in transactions over a decade).
- Operational complexity beyond the legal cost: state title rules vary; insurance carriers writing for 5+ named co-owners on title are a smaller universe; sales/use tax may apply on every transfer; member onboarding is slower (DMV title amendment vs. LLC operating agreement signature).
- **Don't:** launch this AND keep the trading UI / appreciation language. The structure only works if marketing matches substance. Inconsistency becomes evidence in any SEC challenge.

The recommendation

Default recommendation: Reg D 506(c) for Year 1. Given the existing site copy, deck, and product (markets page, order book, share pricing, secondary market mechanics), RYDA today is shaped like an investment platform. The fastest, cheapest, and lowest-risk path to revenue from this starting point is 506(c). Founding-100 are accredited investors anyway. The 506(c) gate is essentially free.

However, the TIC-based non-security path (the Supercar Sharing AG model) is a serious strategic option that should be evaluated explicitly, not dismissed. The TAM is meaningfully larger (retail-accessible). The legal cost is comparable. The product is differentiable from Turo (RYDA is curated and high-end; Turo is a marketplace). And the SEC headline risk goes from "we have to register every offering" to "we never deal with the SEC." A real European platform (SCS) has been operating this exact structure for ~10 years.

The trade-off is product identity. The current site is the investment platform. Pivoting to access-platform requires undoing some of that — at minimum the markets/trading UI and the appreciation language. That's a 2–4 week project, but it's a meaningful brand decision.

Suggested next step: get a 30-minute call with two securities lawyers — one focused on Reg D / Reg A platforms (Cooley, Wilson Sonsini), one focused on consumer / luxury / membership structures (Lowenstein Sandler, Goodwin Procter). Pose both paths. Get reads from both before committing. Total cost: \$1.5K–\$3K in calls. The information value is enormous compared to the \$35K–\$120K downstream cost of either path.

What does NOT work

- **Keeping the current pitch (LLC equity, share trading, appreciation language, secondary market) AND avoiding registration.** This is the path most founders try first. It fails, eventually loudly. Rescission liability is unbounded.
- **Reg D 506(b)** with a public website. The website itself is general solicitation. You cannot use 506(b) and run a public marketplace.
- **Operating offshore.** If you sell to US persons, US securities laws apply.
- **Reg CF.** The \$5M/year cap doesn't fit the share economics (\$50K+ shares means ~100 sales / year max, then you're done).
- **Trying to skirt Howey by calling it "not an investment"** while operating it as an investment. The SEC looks at substance.

Engage securities counsel before any of this. Specific firms with deep fractional-ownership experience: Cooley LLP, Wilson Sonsini, Goodwin Procter, Lowenstein Sandler. Expect to pay \$25K–\$75K for the initial offering structure even on the cheapest 506(c) path; \$60K–\$140K for the TIC + management agreement non-security path (the SCS model). Don't use a generic small-firm corporate lawyer for this — securities law is specialized and the cost of getting it wrong is multiples of the cost of getting it right.

Assumptions & open questions for counsel

- **Howey treatment confirmed.** Assume LLC membership interest = security. Validate with counsel.
- **Solicitation flexibility.** Reg D 506(c) public solicitation is contingent on every buyer passing third-party accreditation verification. Confirm acceptable verifier list (VerifyInvestor, Parallel Markets, etc.).
- **Series LLC vs separate Delaware LLCs.** Series LLCs are cheaper to spin up but carry untested liability shields in some states. Most fractional players use separate LLCs per asset for cleaner liability and resale.
- **Broker-dealer triggers.** If RYDA earns transaction-based comp on share transfers, that may trigger broker-dealer registration. The 3% transfer fee structure should be reviewed.
- **State blue-sky for 506(c).** Federal preemption applies but Form D filings + state notice fees (\$100–500 each) are still required where investors live.
- **Insurance carrier coordination.** Carriers writing exotic-auto fleet policies often want named-insured documentation aligned with the LLC structure. Confirm structure won't disrupt insurance pricing.

This memo summarizes two AI-generated regulatory analyses for internal RYDA strategy planning. It is informational only and does not constitute legal advice. All estimates are approximate ranges based on public information about comparable platforms. Actual costs and timelines should be confirmed with retained securities counsel before structuring any offering.